

Balu Forge Industries

Exponential growth on the cards



Long Term Recommendation

Balu Forge Industries

Exponential growth on the cards

Established in 1989, Balu Forge Industries (BALUFORG) manufactures precision engineered products. It is leading producer of crankshafts mainly catering to agriculture sector. However, company is looking to diversify its business operations with sales in Defence, Oil & Gas and, and Industrial sector. Upcoming capacity of 3.6lk artillery shells will go live in over next few months. It has aggressively raised capacity to 32,000mt from 18,000t in FY24, with a further expansion to ~80,000t over the next 12 to 18months. The added capacity addition allows company to machine products up to three meters in length and weighing up to 1,500kg, one of the highest in industry. This will boost realisation and volume growth in FY26/27. We expect a revenue and PAT CAGR of 35% between FY25-28. We expect a potential re-rating driven by potential sales growth which we forecast to grow by 34% CAGR over next two years. We initiate coverage with a 'BUY' rating and a TP of INR790, an upside of 30%.

Balu Forge is actively expanding capacity to address supply crunch in Europe

Russia Ukraine conflict has impacted the supply of forging components as Ukraine used to be major supplier to European market. Hence, domestic forging companies have been aggressively adding capacity over last two years. Balu Forge has been one of the frontrunners expanding its machining capacity to 32,000mt in FY25 from 18,000mt in FY24. The management is adding a new greenfield plant with aim to increase machining capacity to ~80,000mt over the next 12–18 months, of which some expansion is already live leading to total capacity of ~45,000mt as of May. Balu Forge is further adding specialised machines like the 16t and 25t pneumatic hammer, 8,000t forging press. This will make Balu Forge the second largest domestic player in India, only after Bharat Forge. Balu Forge is also setting up a dedicated defence line with production capacity of 3.6lk artillery shells, which will go live in 1HFY25.

New capacity enables unmatched production capabilities

The new capacity will enable company to forge and machine components weighing up to 1,500kg and up to three meters in length. This level of production capability is broadly unmatched in the industry. Among domestic players, only Bharat Forge can forge components upto 1,250kg in weights. Risk of substitution by other players is limited as this industry is highly capital intensive and ordering a machine takes years to receive. These heavier products will help company in diversifying its business to outside Agricultural division. The management aims to cut its agricultural exposure to ~25% in FY28 from 40% in FY25, while increasing defence, railways and aerospace to ~25% in FY28 from ~10% in FY25.

Expect a revenue/EBITDA CAGR of 34%/35% over FY25-28E

We expect the above greenfield plant to gradually become operational over next 12-18 months. The new capacity and ramp up of production will supercharge volumes by 30% CAGR over FY25–27. As it ventures into heavier and large products, average realisation will rise to INR400–450/kg from INR250–260/kg for traditional products. This will drive overall realisation higher by ~9% CAGR over the next three years. We expect a marginal expansion (80bps) in EBITDA margin as the rise in realisation will be partially offset by an increase in employee expenses. We expect PAT margin to decline slightly mainly driven by i) higher depreciation and ii) lower other income. We expect a revenue/EBITDA/PAT CAGR of 34%/35%/30% over the next three years.

Current prices offer a good entry point, BUY

The stock has fallen 20% from the start of 2025 and 25% from its peak in October 2024 led by a wider sell-off in Indian equities and macro weakness. As the new capacity comes up, Balu Forge will start selling bigger and heavier machined components. This should drive re-rating of the stock especially as the sales and EBITDA grows by 30% CAGR. We initiate coverage with a TP of INR790, at 26x FY27E P/E. Our bull case implies target price of INR850.

Key financials

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenues (INR cr)	286	327	560	924	1,247	1,685	2,187
Revenue growth	101	14	71	65	35	35	30
EBITDA (INR cr)	37	50	119	251	343	472	623
EBITDA margin (%)	13.0	15.2	21.3	27.2	27.5	28.0	28.5
PAT (INR cr)	30	39	93	204	256	353	463
PAT margin (%)	10.4	11.9	16.7	22.1	20.5	21.0	21.2
EPS (INR)	3.6	4.7	9.7	18.4	21.9	30.3	39.7
P/E ratio (x)	56.59	16.57	20.00	30.59	28.00	20.27	15.46

CMP: INR610
Rating: BUY
Target price: INR790
Upside: 30%

Date: May 21, 2025

Bloomberg:	BALUFORG:IN
52-week range (INR):	890/223
M-cap (INR cr):	6,975
Promoter holding (%)	55.78

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Story in charts

Exhibit 1: Machining capacity to increase threefold from FY24 levels

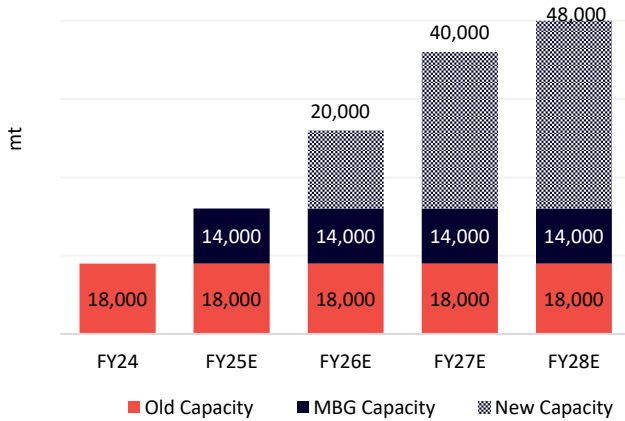


Exhibit 2: The new capex is for lengthier and heavier products which should lead to higher realisation rate

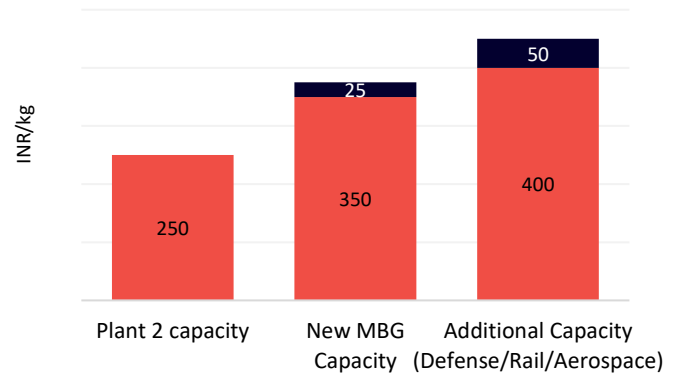


Exhibit 3: Expect 35% volume CAGR over FY25–28 due to ramp up in MBG and capacity additions

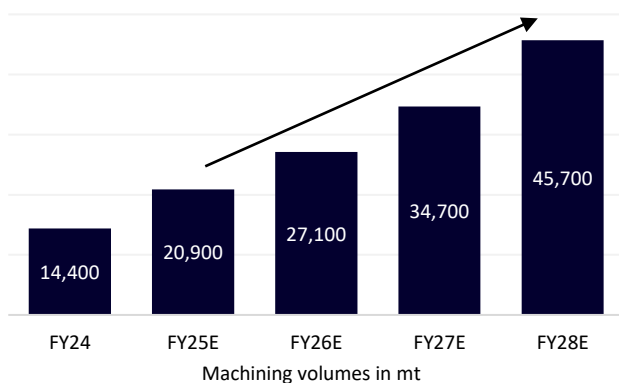


Exhibit 4: Expect average realisation (INR/kg) to rise by ~9% CAGR over FY25–28

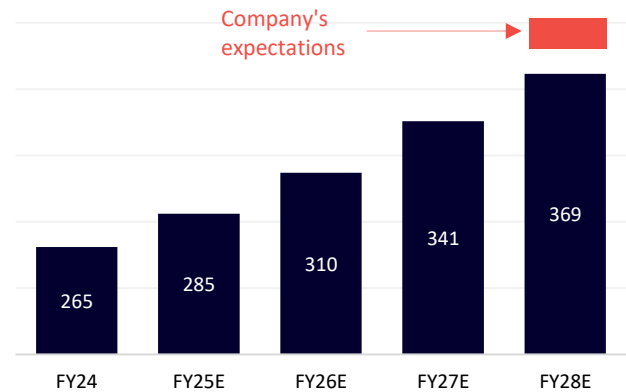


Exhibit 5: Expect revenue to surge to INR2,000cr by FY28 driven by higher volumes

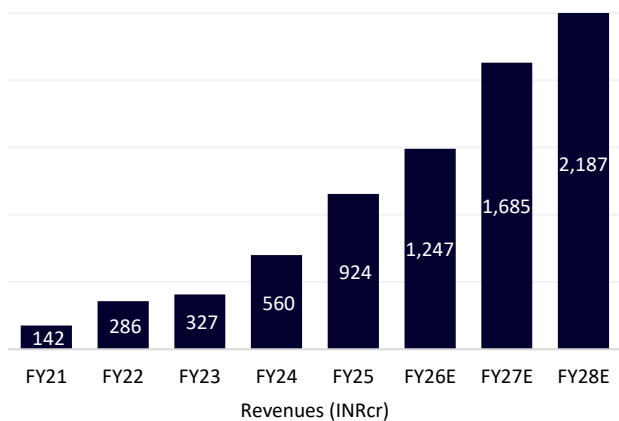
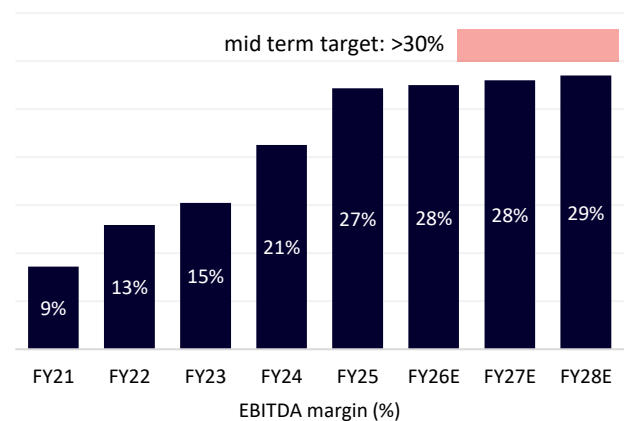


Exhibit 6: See EBITDA margin stabilising as higher realisation is offset by a rise in employee expenses



Source: Company, Nuvama Wealth Research

Exhibit 7: BALUFORG's EBITDA margin is similar to HAPPYFOR and BHFC due to higher realisation

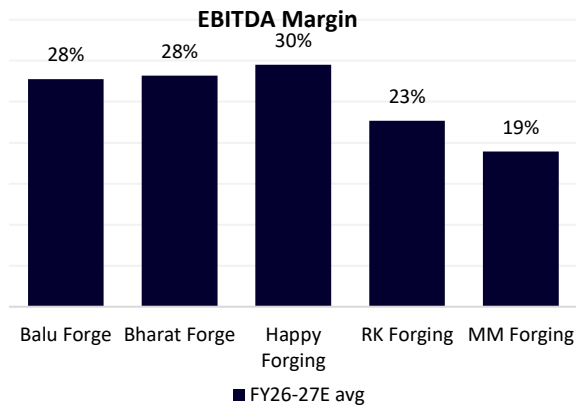


Exhibit 8: Purchase of machinery at nominal prices is driving lower gross block and depreciation

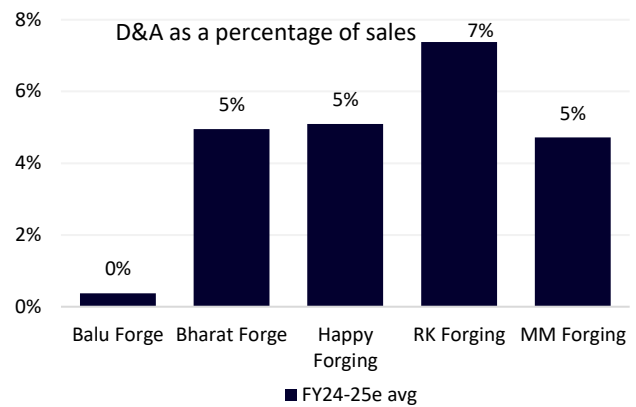


Exhibit 9: Lower acquisition cost and a comparable EBITDA make BALUFORG an industry leader in PAT margin

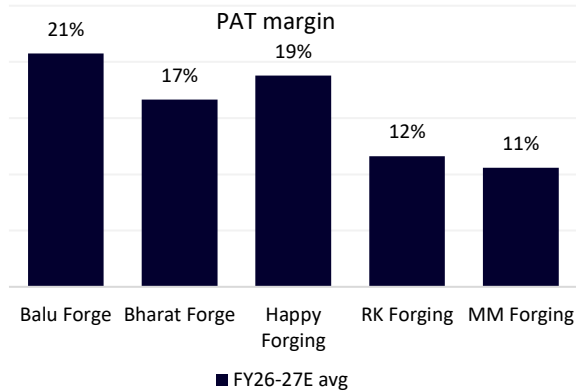


Exhibit 10: Posts industry highest RoIC of more than 30%, but this will normalise

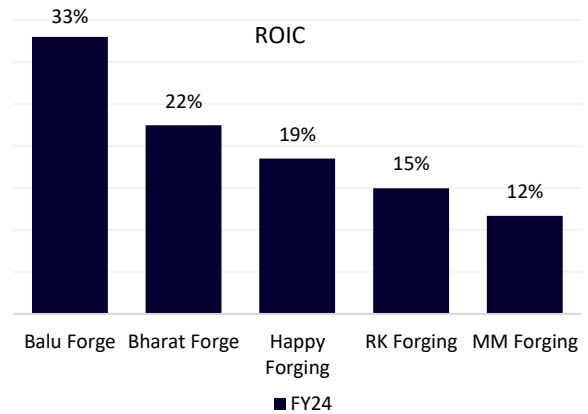


Exhibit 11: Stock has fallen by 22% since the start of 2025 driven by macro weakness and ED investigation

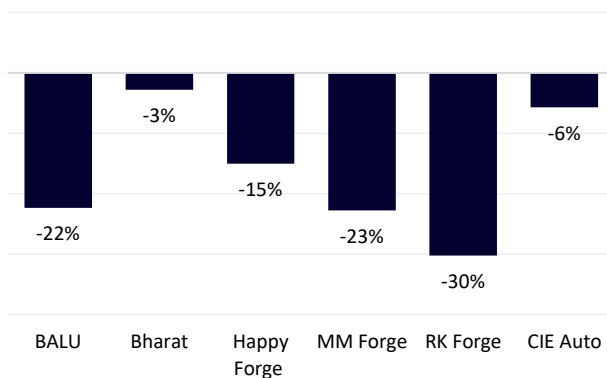
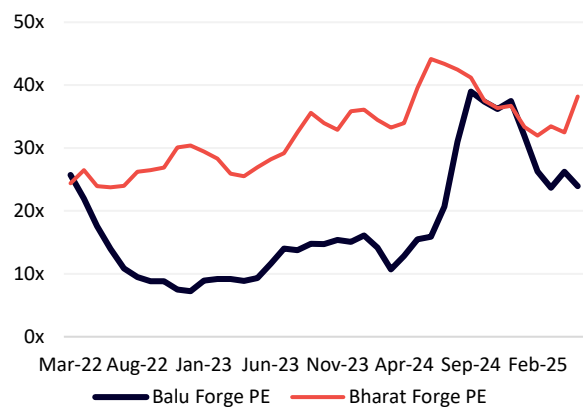


Exhibit 12: Expect the stock to re-rate on strong earnings and clearance from corporate governance issues



Source: Company, Nuvama Wealth Research

Investment thesis

I Aggressively adding machining capacity

Shortage of forging components in Europe

Before the outbreak of hostilities between Russia and Ukraine, the latter used to be a key player in the forging industry and a major supplier to the European market. This is because Ukraine offered some key strategic advantages like: i) easy availability of raw materials, ii) lower labour cost, and iii) strong transport connections with other markets. Due to the war, majority of its forging plants have turned idle or been destroyed, leading to significant supply shortages, particularly in Europe. Capacities at forging plants in Germany and Romania also declined as energy prices in Europe have risen since the start of the war (refer [page 23](#)). As a result, we have seen significant capacity additions by domestic companies to supplement the above supply shortage.

Company	Location	Investment	Capacity addition	Focus areas
Bharat Forge	Tamil Nadu	INR1,000cr spread over five years	To expand its manufacturing footprint	Automotive, EV components, and defence
Bharat Forge (JS Auto Cast)	Tamil Nadu (Erode)	Undisclosed (part of the INR1,000cr)	Acquired SEZ unit with 42,000mtpa capacity	Automotive castings
Ramkrishna Forgings	Jamshedpur, Jharkhand	INR57.5cr	A 3,000tpa aluminium forging facility	Electric vehicle components
Hilton Metal Forging	Mumbai	Not specified	Scaling up to 2,000 wheels/month	Railway wheels and wheelsets
Jindal Stainless	Gujarat and Indonesia	INR5,400cr	Raises melting capacity by more than 40% to 4.2mtpa	Stainless steel production

Strategic acquisition of Daimler machining plant paved the way for Balu Forge

Balu Forge has aggressively added machining capacity to supplement the above deficiency. In 2021, Balu Forge acquired precision machining unit of the Daimler truck factory in Manhiem in 2021. This acquisitions helped company's capability to produce crankshafts and other machined components for Class 7 and Class 8 heavy duty trucks. These acquired machined are placed at company's Plant 2 at Belgaum. As part of this acquisition, it added: fourteen Junker CBN grinding machines with the capability to grind products up to 2–2.5 meters in length.

The commercial production at the Daimler truck plant commenced in Q2FY25. As of March, the plant was running at 60% capacity with a production of 11,000–12,000mt. We expect the production will be ramped up in FY26 and expect this capacity to operate around 70-80% utilization by FY27.

Exhibit 13: Balu Forge is aggressively adding capacity, see Machining capacity to increase threefold from FY24 levels

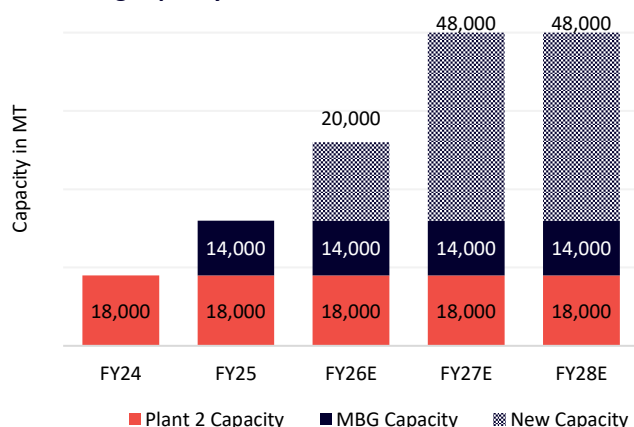
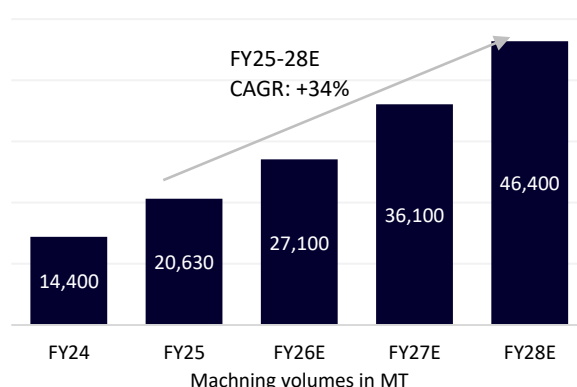


Exhibit 14: The new machining capacity will drive volume growth of ~34% over next three years.



Source: Company data, Nuvama Wealth Research

Upcoming greenfield plant to increase the machining capacity by 3x in 12-18months time

As part of its capacity expansion plan, Balu Forge is adding a greenfield plant with total area of 46+ Acres land. In this plant, company is targeting to increase its machining capacity from 32,000mt to ~80,000mt by FY28. In their most recently published results, management has said that the machining capacity has already increased to ~45,000mt by April and expects to become ~50,000mt over next two quarters. In this plant, company has added a Matec seven-axis machining line and nine Etxetar seven and 11 axis lines which will turn operational in the next two quarters. The Matec/Etxetar machines will enable it to produce components with a length of up to three meters/1.5 meters. Overall, once this new capacity becomes operational, BALUFORG will become one of India's largest machining players behind only BHFC and Happy Forgings (HAPPYFOR).

The detailed list of machines that company has procured are listed below:

- i) **Press lines:** One 8,000t press line, a 2,000t trimming press line, a 1,600t trimming press line, and two trimming press lines of 1,250t each. These machines were acquired from Ukraine at a much cheaper rate. It has also acquired a 1,600t hydraulic press line from Romania.
- ii) **Hammer line:** One hydraulic hammer line each of 10t, 16t, and 25t hammer. The first two were acquired from Ukraine and the latter from Romania.

These new Ukrainian machines can forge products ranging from 1kg to 1,000kg while the Romanian ones can go up to 1,500kg. In Phase II, the company will expand its forging capacity to 1,32,000mt by FY28. The management is targeting a 35-40% drop through from forging to machining.

New Defense shells operations to commence operations in 1HFY26

Apart from above Forging lines, company is also setting up production line for Defense artillery shells. The new line will have annual production capacity of 3,60,000 shells, for which management expects to start commercial production by Q2FY26. As part of this line, it will have a dedicated extrusion forging lines and CNC Machining unit, which is being setup in Plant IV. While management expects production to start by May end, we believe that Plant IV still requires additional work before commercial operations can commence. Hence, we believe there may be slight delay and expect commercial operation only from Q4FY26.

Exhibit 15: See company to ramp up capacity utilization over coming period

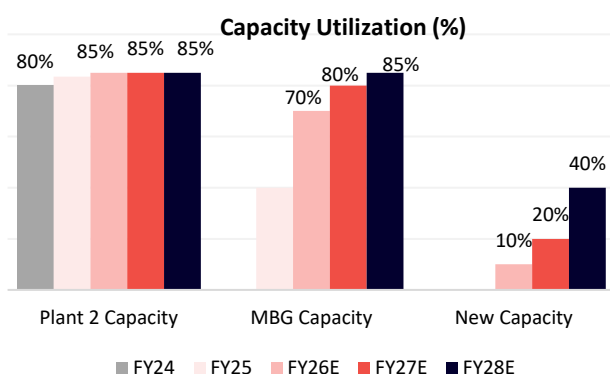
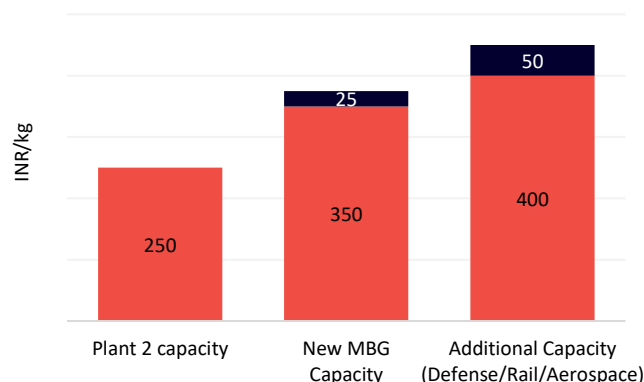


Exhibit 16: The new capex is for lengthier and heavier products which should lead to higher realisation rate



Source: Company data, Nuvama Wealth Research

Forging capacity boost to raise its standing in the supply chain

At present, BALUFORG only machines the components and procures the forged sections from a third party. However, it has acquired forging capacity of 72,000mt from Ukraine and other parts of Eastern Europe which is being installed at Plant IV. It has already ordered and received machines for three forging lines – namely i) 16ton pneumatic hammer, ii) 10ton pneumatic hammer and iii) 8000tons Forging press. Additionally, the new plant will also include ~25tons hammer which company has ordered and will receive in 1QFY26. We highlight that new forging line will be used only for captive purpose, and it will be only machining equipment that will be sold. Hence, we believe that Plant Management's initial focus on machining capacity and then forging, as machining generates revenue. It may continue to procure the forging components from third parties in Aurangabad, Mumbai, Pune, etc. until the line comes up.

Exhibit 17: To expand its forging capacity to 132,000mt by FY28

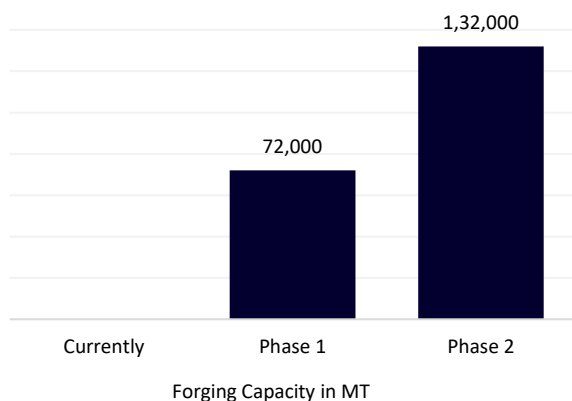
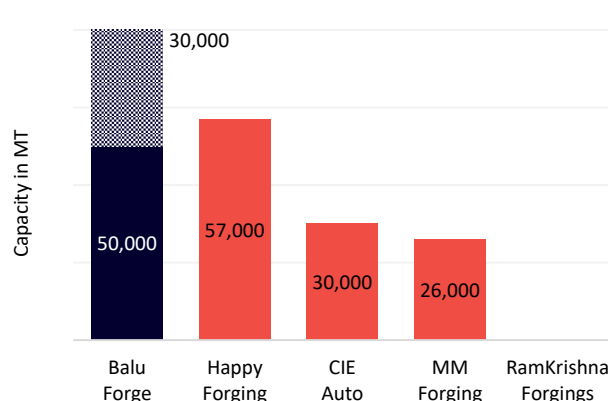


Exhibit 18: Will emerge as the second largest domestic player after BHFC in machining



Source: company data, Nuvama Wealth Research

Exhibit 19: List of Machines acquired by company and their specifications

Forging Machines	
Press lines	Weight
8,000-ton mechanical press (One)	25 kg to 120 kg
2,000-ton trimming press (One)	50-1,00kg to several tons
1,600-ton trimming press (One)	100 to 1,000kg
1,250-ton trimming press (Two)	200 to 1,000kg
1,600-ton hydraulic trimming (One)	Upto 1,500kg
Hammers	
10-ton hydraulic hammer (One)	50-200kg
16-ton hydraulic hammer (One)	100-1,000kg
25-ton hydraulic hammer (One)	100-1,500 kg

Machining	
Machine Lines	Size
Junker CBN Machine	upto 2.0m
Naxos Union CBN grinding	upto 2.5m
Matic 7 axis	upto 3.0m
Etxtetar 7 axis	upto 1.5m
Etxtetar 11 axis	upto 1.5m
Around 250 other machines - VMC, HMC, CNC, Grinder, etc.	

II. Unmatched production capabilities

The new capacity will make Balu Forge second largest machining player in India

As explained earlier (refer [page 05](#)), BALUFORG is expanding its machining and forging capacity. Over next 12-18 months, company is targeting machining capacity of 80,000mt which will make it the second largest player behind Bharat Forge and Happy Forging. Balu Forge will have a much higher capacity as compared to other forging players like MM Forgings (MMFG), Ramkrishna Forgings (RMKF), and CIE Automotive (CIEINDIA). As compared to peers, company will have a relatively lower forging capacity. This is understandable as Balu is focus only sells machining components and Forging is used just for captive purpose. (We delve into the differences between a machining and forging press on [page 25](#)).

Exhibit 20: Balu Forge to emerge as the second largest machining player by FY28

	Machining	Forging
	50,000 (FY26E)	72,000 (FY26E)
Balu Forge	80,000 (FY28E)	132,000 (FY28E)
Bharat Forge (Forging + Machining)	6,96,000	
Happy Forging*	57,000	1,27,000
CIE Automotive	30,000	2,14,000
MM Forging	26,000	1,00,000
RK Forging (standalone)		3,11,400
Thyssenkrupp	NA	11,00,000
Tianrun Crankshaft	NA	1,35,000
Guilin FUDA	NA	1,00,000

Source: Nuvama Wealth Research

Balu Forge will cater to large and heavier weight components

The added capacity will make BALUFORG one of the largest machining players in India. It will be able to machine products of up to three meters in length and with a weight of up to 1,000kg, only matched by Bharat Forge in India. Company has already procured 25 pneumatic hammers, which will enable it to forge products weighing of 1,000kg to 1,500kg. Only Bharat Forge has this capability in India. Globally, Thyssenkrupp and some Chinese players can produce components weighing over 1,500kg. Happy Forging is adding capacity that will allow it to machine products weighing 1,000kg. However, this capacity will come on stream only over next two to three years while Balu Forge production capability will start from FY26.

Exhibit 21: BALUFORG's technical capabilities are almost on par with BHFC

Company	Weight	Length
Balu Forge	Up to 1,000kg which can be raised to 1,500kg with 25t hammer	Up to three meters
Bharat Forge	2– 1,250kg	Up to three meters
Happy Forging	10–250kg	NA
CIE Automotive	0.5–50kg (India) more than 100kg (EU)	NA
MM Forging	0.2–100kg	Up to eight meters
Ram Krishna Forging	1,200kg	NA
Thyssenkrupp	6,000kg	Up to 3–4.5 meters

Source: Nuvama Wealth Research

Balu Forge is well covered in Forging with its Hammer forging machines

Though the forging industry is highly competitive, BALUFORG is relatively well placed in terms of Forging technology. Company has installed following machines dedicated to forging lines:

- Company has installed an 8,000ton mechanical press line. This line is mainly used for larger volume product.
- Three hydraulic hammers (10t, 16t, and 25t). These machines will help the company to expand the business in defence, railways, and heavy industrial applications where tensile strength is of much higher importance. Unlike Mechanical press line, hydraulic hammer provides much more flexibility to control the precision and thus giving uniform properties throughout the components.
- The company has installed several trimming press lines (like 2,000t, 1,600t, and 1,250t) which will help shape the material. While these press lines are part of the forging process, this is kind of a subtractive process where excess material is removed to be used as a final product for machining components.

We highlight that 25t pneumatic hammer will allow Balu Forge to forge components of 1,000 to 1,500kg in actual weights and rated weights of 2,000 to 2,500kg. Bharat Forge has 40t counterblow hammer. This will allow Bharat forge to forge products with actual and rated weights of upto 1,250kg/2000kg respectively.

Exhibit 22: Hammer and press forging capability

	Hammer forging	Press forging
Balu Forge	10, 16, and 25t	8,000t
Bharat Forge	5t and 40t	16,000t
Happy Forging	1.5–6t	14,000t
CIE Automotive	1–2t	6,300t
MM Forging	NA	8,000t
RK Forging	0.5–6.5t	12,500t
Thysenkrupp	16t and 25t	32,000t
Tianrun Crankshaft	NA	14,000t
Guilin FUDA	NA	14,000t

Source: Nuvama Wealth Research

Larger and heavier components mean higher realisation

Larger and heavier components will drive higher realisation for the company. As of now, Balu Forge average realisation is second highest in industry, only behind Bharat Forge. As company diversifies its revenue to outside Agricultural division, the realisation will increase. We forecast ~9% growth over next three years.

Exhibit 23: Balu Forge average realization to become one of the highest in industry

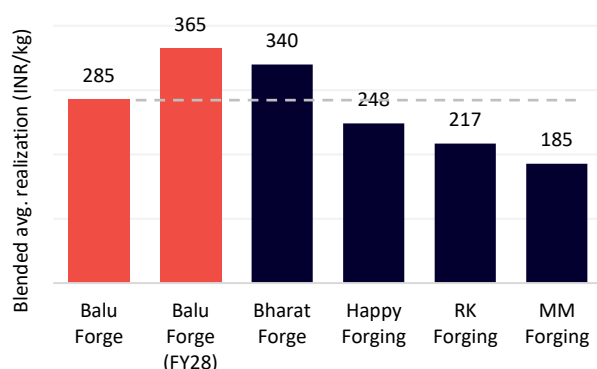
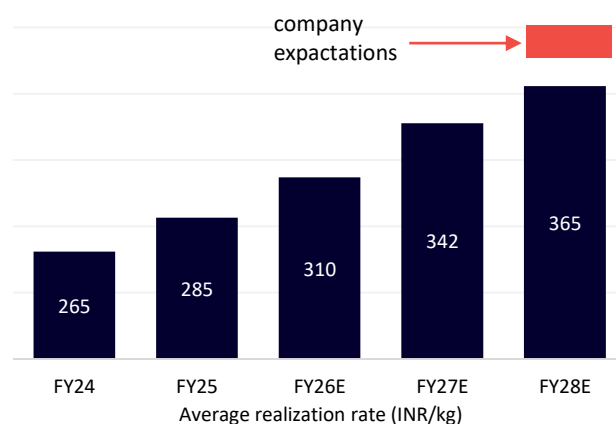


Exhibit 24: We expect average realization to grow by 9% CAGR between FY25-28e



Source: Nuvama Wealth Research

Unlike peers, its revenue portfolio is well diversified across various end users

BALUFORG is a precision machining company specialising in the production of crankshafts, under carriage, front axle beams, brake flange, etc. Unlike peers, it is expanding its product offerings while venturing into newer segments to cater to the rising demand. Historically, its focus has been on the agricultural business which contributed ~55% to group sales. However, the company is looking to diversify its business, with orders from the defence, aerospace, industrial and railways. It aims to raise revenue contribution from the defence, railways, and aerospace segment to 25–30% by FY28.

Exhibit 25: Revenue diversification is on the cards for Balu Forge

	Auto	Agri	Defence	Industrial
BALUFORG	5%	55%	5%	35%
BALUFORG (mid-term)	5%	40%	20%	35%
Bharat Forge*	50%	NA	12%	38%
Happy Forging	51%	28%	NA	21%
RK Forging	77%	NA	NA	23%
MM Forging	90%	9%	NA	1%

Source: Nuvama Wealth Research

III. Sales set to triple over the next three years

Expect volume to more than double by FY28

The company has delivered strong sales growth of ~65% YoY in FY25 driven by the commencement of commercial production at its acquired Daimler truck plant in Q2. Currently, the previous capacity is running at ~80% utilisation and Daimler truck plant is running at 60% utilisation. We expect a further ramp up in production in coming quarters. The management will raise capacity to ~50,000mt/~80,000mt by FY26/FY28. We remain prudent in our forecast and see limited utilisation for this new capacity. We see utilisation gradually rising to ~20%/30% in FY27/FY28 from 10% in FY26. **Overall, we expect sales volumes to clock 25% CAGR over FY25–28.**

Exhibit 26: Balu Forge is aggressively adding capacity, see machining capacity rise threefold from FY24

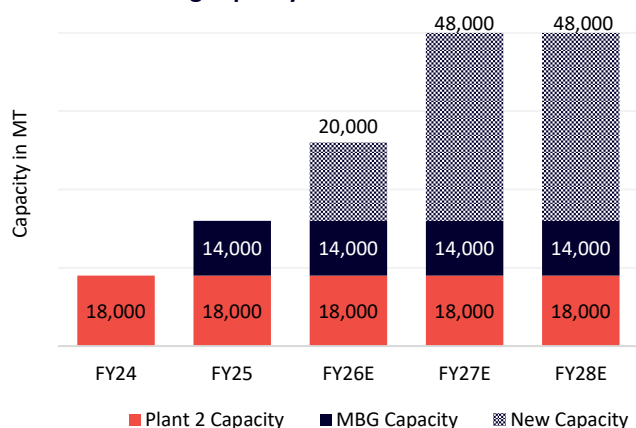
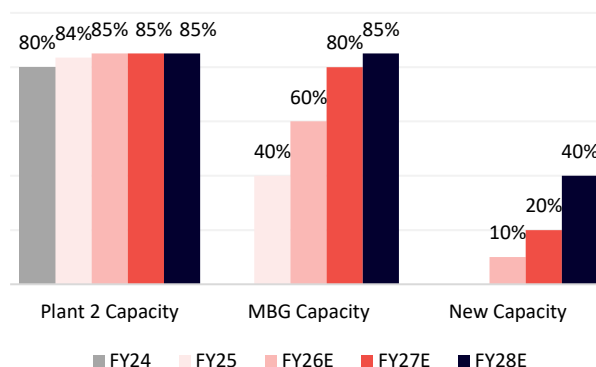


Exhibit 27: Remain prudent in our forecast and see limited increase in capacity utilisation (%)



Source: Company data, Nuvama Wealth Research

Higher realisation and new capacity to boost sales growth

One of the key advantages of the added capacity is that the company can cater to higher weight loads. The 10t, 16t, and 25t hydraulic hammer will allow it to forge products weighing up to 1,500kg and up to three meters in length. These products earn a much higher realisation (INR350–400/kg) when compared to the traditional agricultural realisation of ~INR230kg. We expect the blended average realisation rate to rise to INR320/INR350 in FY26/FY27 from INR250 in FY24. Despite the management's guidance of INR375–400kg, we see competitive forces and market dynamics limiting realisation growth. Overall, we expect average blended realisation to clock ~9% CAGR over the next three fiscals to INR370/kg by FY28, well below its guidance of INR375–400/kg.

Exhibit 28: Expect machining volumes to grow at 30% CAGR over FY25–28

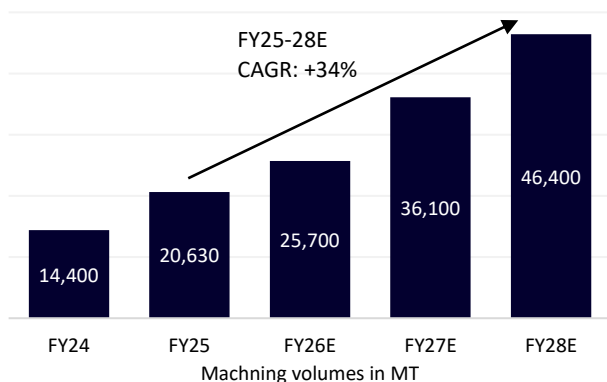
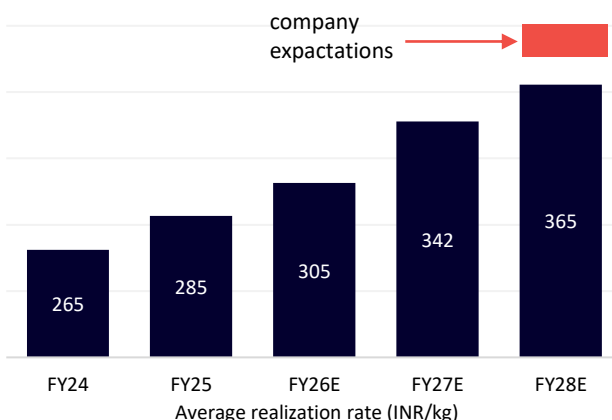


Exhibit 29: See average realisation growing by ~8% CAGR over FY25–28



Source: Company data, Nuvama Wealth Research

Expect FY25–28 sales CAGR of 30% led by capacity expansion and higher realisation

We forecast 30% sales CAGR over FY25–28 driven by higher average realisation (~8%) and volume growth (~24%). Majority of the growth will be driven by standalone business which is expected to grow by 40% CAGR over next three years. This growth will primarily come from new products as company ventures into Defence and Aerospace segments. On the traditional crankshaft business, company is increasing Crankshaft production by 100,000 units per month with addition of new capacity. SAFA Otomotiv FZ, its wholly owned subsidiary based in UAE, will grow by ~14% CAGR. We expect growth for SAFA Otomotiv FZ to normalise from FY26–28 following a YoY growth of ~80% in FY25 (on a lower base).

Exhibit 30: Expect revenue to triple to ~INR2,000cr by FY28

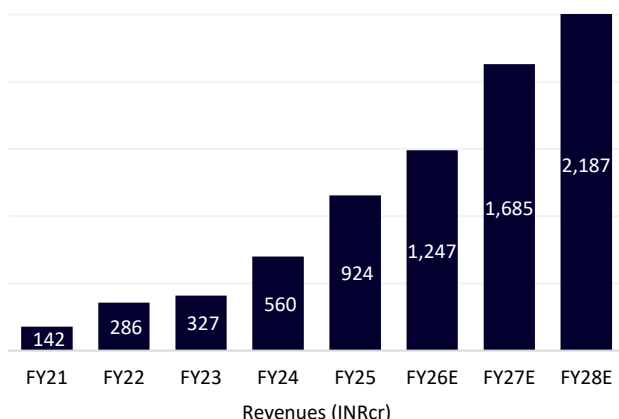
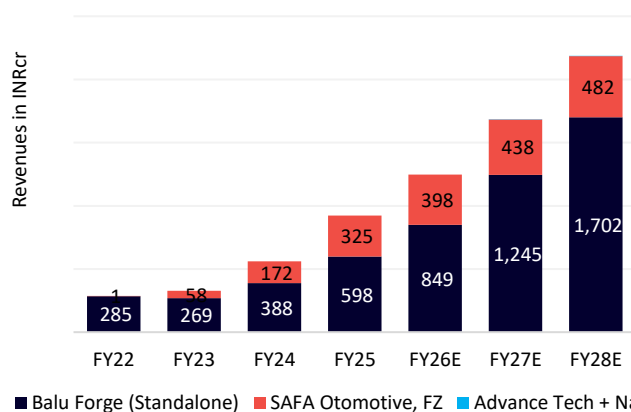


Exhibit 31: Revenue breakup between SAFA Otomotiv FZ, parent, and other subsidiaries



Source: Company data, Nuvama Wealth Research

Diversification beyond agricultural is on the cards

Unlike peers, Balu Forge is expanding its product offerings beyond the agricultural segment by venturing into defence, aerospace, and railways to meet rising demand. The management aims to cut its agricultural exposure to ~25% in FY28 from 40% in FY25. We discuss some of the major products below:

Crankshafts: Management main product is crankshafts which it supplies to various end user industry. Current production capacity is 12lk per annum which is segregated as 80%/20% between Auto and Non Auto end user. Automotive includes Agricultural and Commercial vehicles, while non-Auto includes industrial, defence, and railways.

Defence: It is adding dedicated capacity to manufacture artillery shells. Its prototypes have been approved. Company has established annual capacity of 360,000 artillery shells, which management expects will come live by May end and commercial production from Q2FY26. For artillery shell, it will setup a dedicated extrusion forging line and CNC Machining unit. These shells will be supplied primarily to the Indian government and offered for export to nations in LatAm and Europe. As the capacity ramps up, we see potential revenue generation of INR500-550cr from defensive artillery shells. Production will be carried out on seven and eleven axis CNC machines, both of which has already been procured.

Railways: It manufactures railway components. Planned capacity of combined annual capacity of 6,000-wheel sets catering primarily to Indian Railways and some Middle Eastern markets. The management aims to expand in Europe but has not offered any timeline. The SOP of railway wheels is expected to commence in H2FY26.

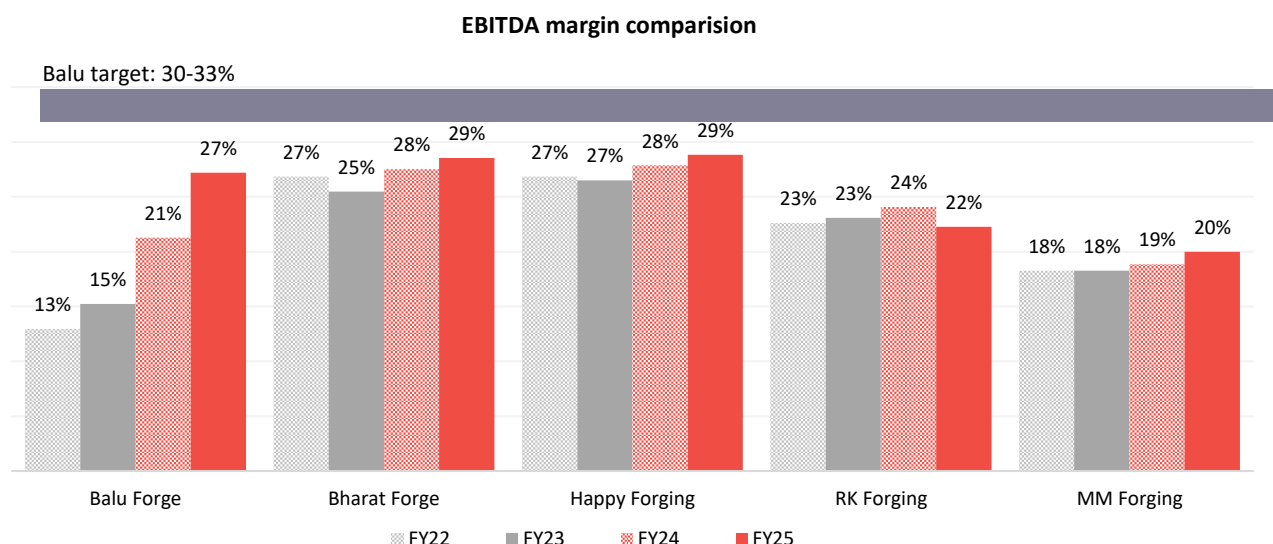
Aerospace: It is looking to manufacture turbine blades that find use in jet engines. These turbine blades are still in the development stage, with further development expected in the later part of FY26.

Oil and gas: It aims to manufacture valves with a weight of 500kg to 1,500kg. The management is still in the discussion phase, with revenue generation occurring in two to three years.

IV. EBITDA margin stable around 27%-30%

EBITDA margin improved by 8% over FY22–24 driven by higher realisation as the company expanded its product portfolio from agricultural to more complex industrial products. Balu Forge EBITDA margin is now comparable to Bharat Forge and Happy forging and is much higher than RK Forging and MM Forging.

Exhibit 32: EBITDA margin rose significantly vis-à-vis peers with the addition of MBG capacity



Source: Company data, Nuvama Wealth Research, Bloomberg consensus

We don't expect a major expansion in EBITDA margin ahead. While average realisation grows, we expect employee expenses to rise as the management has guided at a headcount addition of 2,000 over the next two years. The added headcount will aid capacity expansion in the coming years. Going forward, employee expenses as a percentage of sales will be comparable to its peers.

Exhibit 33: EBITDA margin to remain flat over coming years

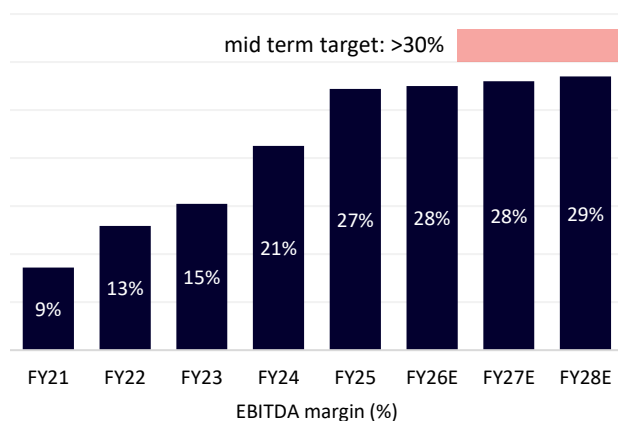
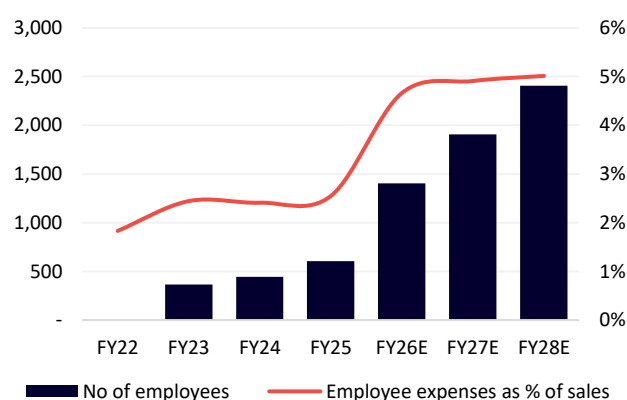


Exhibit 34: Staff expenses to rise as headcount grows by 2k



Source: Company data, Nuvama Wealth Research

V. Industry highest PAT margin and RoIC

Earns a higher PAT and RoIC as the acquisition cost of machines is lower than its peers

While EBITDA margin for BALUFORG is slightly lower vis-à-vis HAPPYFOR and BHFC, its PAT margin is relatively higher due to a lower D&A expense. As a percentage of sales, D&A for Balu Forge is just 0.4% as against 5.0% for BHFC and 5.4% for HAPPYFOR. This is because Balu Forge has procured machines during distress sales (i.e. at prices significantly lower than its normal market rate). As per the management, it acquired 14 CBN grinding machines for just INR30cr against its prevailing market price of ~INR400cr. These assets were acquired as part of a distressed sale during the COVID-19 pandemic, which help improve RoIC. Apart from Daimler truck plant, it has procured machines from Ukraine and Romania for its upcoming plant. Given the ongoing Russia-Ukraine war, these machines were available at distressed prices.

Exhibit 35: Procurement of machines

Machines procured	Make	Region
8,000t press line	Russian	Ukraine
16t hydraulic hammer line	Russian	Ukraine
10t hydraulic hammer line	Russian	Ukraine
2,000t trimming press	Russian	Ukraine
1600t trimming press	Russian	Ukraine
Two 1,250t trimming press	German	Ukraine
25t hydraulic hammer	Italian	Romania
1,600t hydraulic trimming press	Italian	Romania
1,000t hydraulic press line	Indian	Local

Source: Nuvama Wealth Research

Source: Company data, Nuvama Wealth Research

Industry highest RoIC and PAT margin yet trades at a 14% discount to its industry average

Because these machines were acquired at a very low cost, the depreciation on these machines is very small. As a percentage of sales, BALUFORG's D&A is just 0.4–0.5%, well below that of HAPPYFOR and BHFC (~5%) and RMKF (~7%). A lower D&A translates to higher PAT margin, which leads to PAT margin of ~22% for Balu Forge as compared to 17%/19% for Bharat Forge and Happy Forging respectively. Given the low acquisition cost, BALUFORG generates RoIC of more than 30%, higher than its industry peers. This is evident in the higher fixed asset turnover ratio of ~20x.

Exhibit 36: BALUFORG's D&A expense as a percentage of sales is less as it purchases PPE at a lower fixed cost

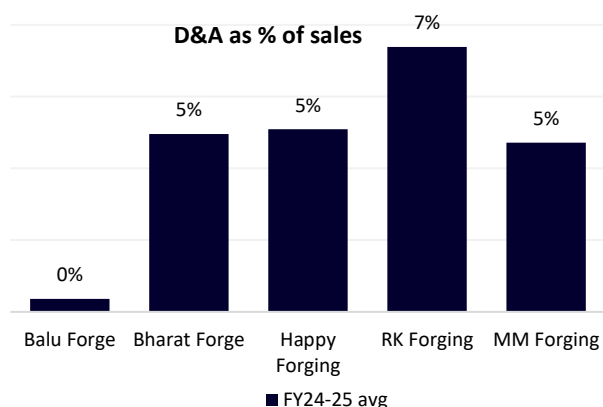
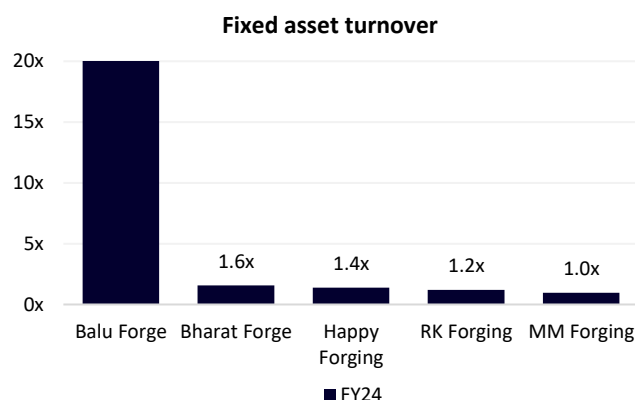


Exhibit 37: This is also evident in its fixed asset turnover which is one of the highest in the industry



Source: Company data, Nuvama Wealth Research, Bloomberg consensus

Exhibit 38: BALUFORG has the highest PAT margin...

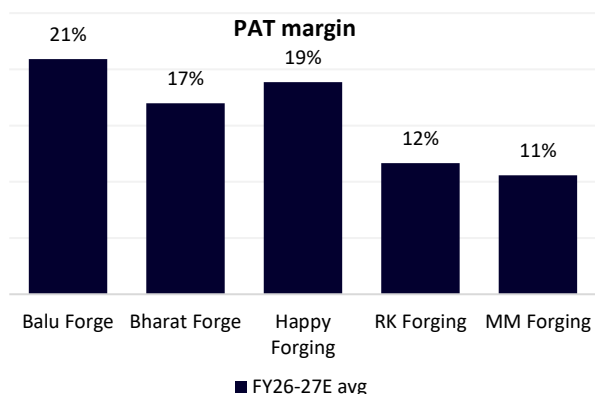
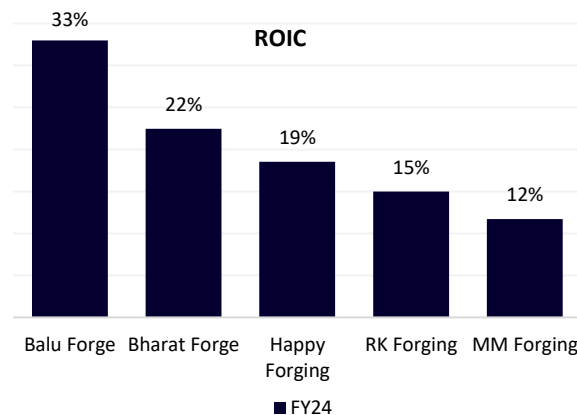


Exhibit 39: ...and the biggest RoIC in the industry



Source: Company data, Nuvama Wealth Research, Bloomberg consensus

Expect RoIC to normalise to ~27% level in mid-term as D&A benefit declines

As company starts adding new machinery, the D&A benefit will start declining. Company has purchased machinery hydraulic press line domestically, while also acquiring packaging machines from China. As of FY25, capital WIP stood at INR280cr, which is expected to turn operational in FY26–27. As this capital WIP turns operational, the D&A as % of sales will increase thus implying slightly lower PAT margin. Overall, we forecast PAT margin to decline slightly to ~21.0% in FY26/27E as compared to 22% PAT margin in FY22, but still higher than peers. We expect RoIC to normalise to around 25–27% in mid-term.

Valuation and view

We value the stock at 26x P/E based on our FY27 estimates. Our target multiple is in line with its FY27 average P/E multiple of Bharat Forge and Happy Forging. Bharat Forge and Happy Forging are trading at a FY27E P/E of 28.8x/22.4x. Our target multiple implies a 10% discount to Bharat Forge and a 15% premium to Happy Forging.

We believe that the discount to Bharat Forge FY27E multiple is justified as: i) BALU Forge is much smaller than Bharat Forge, and ii) Bharat Forge has been catering to defence and aerospace segments for around a decade, while Balu Forge is just entering the industry. The premium as compared to Happy Forging is because of i) Happy Forging sales is mainly in Automotive industry where the growth expectations is low, and ii) lower average realisation of Happy Forging vs Balu Forge. Our valuation methodology leads to a TP of INR790, a 30% upside from its CMP. We do not include RamKrishna Forging and MM Forgings in our valuation methodology as both companies cater to the auto segment and forge and machine small size products. Their average realisation is also much lower than BALUFORG.

Exhibit 40: Valuation comps

Company	CMP	EV/Sales (x)		EV/EBITDA (x)		P/E ratio (x)		ROIC	ROE
		FY26	FY27	FY26	FY27	FY26	FY27	FY25	FY25
Balu Forge	612	5	4	19	15	26	20	32	19
Bharat Forge (Standalone)	1,266	7	6	24	21	39	32	21	14
Happy Forging	821	5	4	16	14	26	22	17	15
Ram Krishna Forging	618	3	3	12	11	22	18	15	13
MM Forging	358	2	1	9	7	11	9	12	16
Industry average (BF+HF)		6	5	20	18	32	27	19	15
Balu Forge vs Industry avg		-8	-19	-5	-17	-18	-25	67	31
Balu Forge on TP of INR790		7	5	27	19	36	26		
Balu Forge vs Industry avg		26%	6%	31%	9%	12%	-3%		

Company	CMP	Sales CAGR (%)		EBITDA CAGR (%)		EBITDA margin		PAT CAGR (%)	
		FY23-25	FY25-27	FY23-25	FY25-27	FY23-25	FY25-27	FY23-25	FY25-27
Balu Forge	61	68	35	125	37	21	28	129	32
Company	1,266	8	8	14	7	27	28	17	11
Balu Forge	821	9	13	14	15	28	29	20	14
Bharat Forge (Standalone)	618	13	15	11	16	23	23	23	27
Happy Forging	358	3	15	8	15	19	19	NA	36
Industry average (BF+HF)		9	11	14	11	27	29	18	13
Balu Forge vs Industry avg		60	25	111	26	-6	-1	111	19

Source: Nuvama Wealth Research, Bloomberg

Base case target price of INR790, bull case can lead to target price of INR850

We use the diluted number of average shares to arrive at our TP. The diluted share capital includes warrants issued to promoters and non -promoters in September 2024 for INR83.7cr and 13.25lk warrants converted into shares in April. Based on the above valuation methodology (26x FY27 PE), we arrive at our base case target price of INR790.

Exhibit 41: Valuation methodology of Balu Forge

	FY27 P/E Ratio
Fundamental Value (from model)	30
Target multiple	26.0
<i>Implied premium to industry average</i>	-25%
12m fwd. peer multiple (FY24-FY25 avg.) – Bharat Forge	34.9
12m fwd. peer multiple (current) – Bharat Forge	34.6
12m fwd. peer multiple (FY24-FY25 avg.) – Happy Forging	30.0
12m fwd. peer multiple (current) – Happy Forging	24.0
Equity Value (INRcr)	9,184
No of shares (INRcr)	12
Value per share	788
Target Price (SOTP)	790
Current price	610
% upside	30%

Source: Nuvama Wealth Research

We highlight that our target multiple is based on average of Happy Forging and Bharat Forge, which we believe is ideal currently as 40% of sales comes from Automotive and agricultural business. We believe that further re-rating is possible as Balu Forge starts delivering defensive artillery shells over next two years. Our bull case sees company target price to reach more than INR850.

		Target multiple				
	790	22.0	24.0	26.0	28.0	30.0
FY27 EPS	28	620	680	740	790	850
	29	640	700	760	820	880
	30	670	730	790	850	910
	31	690	750	810	880	940
	32	710	780	840	900	970

Key risks

- Delay in the ramp up of its production facility:** Our base case implies sales/EBITDA/PAT CAGR of 33%/35%/30% between FY25-28E. Any delay in ramp up of newly capacities will delay our base forecast and potentially lead to de-rating of the stock.
- Weakness in defence and export orders:** Company is setting up a dedicated line of defence artillery shells, which is expected to go live over next few months. This defence orders will be supplied to Indian government as well as Middle east and European markets. Any weakness in Defence sales or export orders, will impact the growth potential of the stock.
- Any corporate governance related impact:** One of the biggest risks is the 4.3% stake held by Enforcement Directorate, Raipur. This will remain an overhang for the stock, unless final resolution comes in.

Corporate governance

Corporate governance structure appears clean

Balu Forge has a clear set of guidelines and bylaws for its board of directors, the apex body appointed by the shareholders. The board consists of six members (*refer table below*), of which ~50% are independent. The audit/nomination and remuneration committee consist of 75%/100% independent members. The remuneration of executive directors is fully disclosed in the annual report. As of now, the average tenure of an independent director is almost four years. **This may emerge as an issue over the next 12 months as the company bylaws state that an independent director is appointed for a period of five years.** The governance structure appears clean. Also, company's statutory auditor M. B. Agrawal & Co is a category 1 audit firm with seven partners and 22 permanent employees.

Exhibit 43: Board of directors

Name	Designation	Gross Remuneration (INR lk)
Mr Jaspalsingh Chandock	Managing Director & Chairman	240.0
Mr Trimaan Singh Chandock	Executive Director	96.0
Mr Jaikaran Singh Chandock	Executive Director	96.0
Mr Raghvendra Raj Mehta	Independent Director	Sitting fees: 3.0
Mr Radhey Shyam Soni	Independent Director	Sitting fees: 3.2
Mrs Shalu Laxmanraj Bhandari	Independent Director	Sitting fees: 3.0

Source: Company data, Nuvama Wealth Research

Exhibit 44: Shareholding of Balu Forge BALUFORG

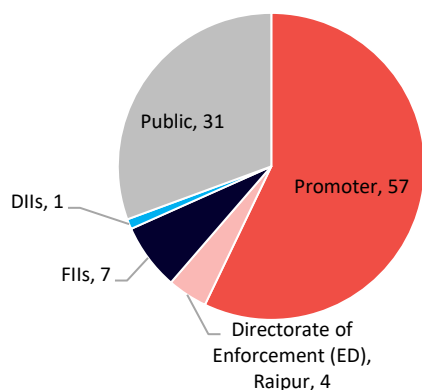
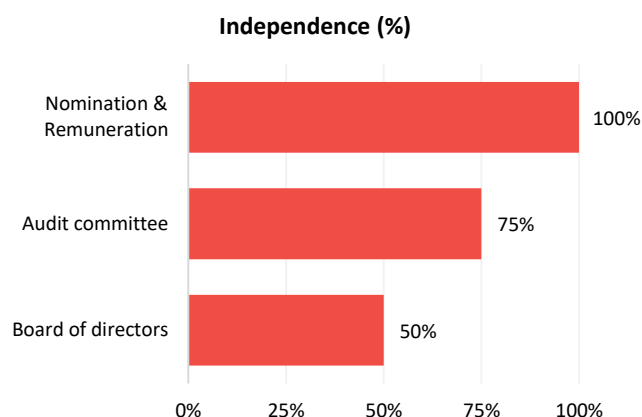


Exhibit 45: Independence of board committees



Source: Company data, Nuvama Wealth Research

Related-party transactions

We analysed related party transactions but didn't come across any major discrepancies. Two transactions — i) loans and advances to a subsidiary, and ii) loans to Jaspal Singh Chandock— are discussed below.

- Capital advances to SAFA Otomotiv FZ:** BALUFORG advanced INR26cr in H2FY24 which was used to purchase machinery and equipment in H1FY25.
- Loans to Jaspal Singh Chandock:** Over the last three years, there have been some loan transactions between the promoter and the company. As of H1FY25, the closing balance for these transactions is nil.

Beyond the above, the remaining transactions are very small and insignificant. (*Refer page 19 for Related party transactions*)

Shareholding timeline

	Mar'22	Jun'22	Sep'22	Dec'22	Mar'23	Jun'23	Sep'23	Dec'23	Mar'24	Jun'24
Mr Jaspa Singh Chandock	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010	5,44,40,010
Mr Trimaan Singh Chandock	75,900	75,900	75,900	75,900	75,900	75,900	15,43,032	15,43,032	15,43,032	15,43,032
Mr Jaikaran Singh Chandock	10,150	10,150	10,150	10,150	10,150	10,150	15,43,032	15,43,032	15,43,032	15,43,032
Total promoter shareholding	5,45,26,060	5,45,26,060	5,45,26,060	5,45,26,060	5,45,26,060	5,45,26,060	5,75,26,074	5,75,26,074	5,75,26,074	5,75,26,074
Tano Investment Opportunities Fund	82,90,000	82,90,000	82,90,000	82,90,000	51,90,000	8,45,000	0	0	0	0
Sigma Global Fund	12,72,500	12,72,500	12,72,500	12,72,500	12,06,710	0	0	0	0	0
Sixteenth Street Asian Gems Fund	0	0	0	0	0	0	0	25,00,000	25,00,000	25,00,000
Others	97,590	97,590	97,590	97,590	0	6,000	12,74,000	16,45,000	28,12,804	87,28,751
FPI — Category I	96,60,090	96,60,090	96,60,090	96,60,090	63,96,710	8,51,000	12,74,000	41,45,000	53,12,804	41,04,750
Caterfield Global DMCC	0	0	0	0	0	18,95,000	18,95,000	18,95,000	18,95,000	18,95,000
Ecotek General Trading LLC	0	0	0	0	0	14,50,000	15,94,500	15,94,500	15,94,500	15,94,500
Zenith Multi Trading DMCC	0	0	0	0	0	0	11,34,501	11,34,501	11,34,501	11,34,501
Others	0	0	0	0	0	4,30,000	5,87,257	2,32,257	26,744	0
FPI — Category II	0	0	0	0	0	37,75,000	52,11,258	48,56,258	46,50,745	46,24,001
SageOne - Flagship Growth 2 Fund	0	0	0	0	0	0	18,00,000	18,00,000	16,81,866	0
Domestic institutions	0	0	0	0	0	0	20,00,000	20,00,000	19,39,866	14,69,000
Non-institutions	1,81,28,736	1,91,78,736	1,91,78,736	1,91,78,736	2,24,42,116	2,42,12,826	3,40,80,568	3,40,64,568	3,31,62,411	3,48,68,075
Total shareholding	8,23,14,886	8,33,64,886	8,33,64,886	8,33,64,886	8,33,64,886	8,33,64,886	10,00,91,900	10,25,91,900	10,25,91,900	10,25,91,900
Total promoter shareholding	66%	65%	65%	65%	65%	65%	57%	56%	56%	56%
Tano Investment Opportunities Fund	10%	10%	10%	10%	6%	1%				
Sigma Global Fund	2%	2%	2%	2%	1%					
Sixteenth Street Asian Gems Fund								2%	2%	2%
Others							1%	2%	3%	9%
FPI - Category 1	12%	12%	12%	12%	8%	1%	1%	4%	5%	4%
Caterfield Global DMCC						2%	2%	2%	2%	2%
Ecotek General Trading LLC						2%	2%	2%	2%	2%
Zenith Multi Trading DMCC							1%	1%	1%	1%
Others						1%	1%			
FPI - Category 2						5%	5%	5%	5%	5%
SageOne - Flagship Growth 2 Fund							2%	2%	2%	
Domestic institutions							2%	2%	2%	1%
Non-institutions	22%	23%	23%	23%	27%	29%	34%	33%	32%	34%

Table on Related party transactions

All amounts in INRcr	1H23	2H23	1H24	2H24	1H25
Loans outstanding from Jaspal start of period	6	7	12	1	0
Loan taken by company from Jaspal	6	13	27	13	4
Loan repaid by company to Jaspal	6	7	38	16	4
Loans outstanding from Jaspal end of period	7	12	1	0	0
Loans outstanding to SAFA start of period	1	2	3	35	9
Loan given to SAFA	1	3	7	1	0
Loan repaid by SAFA	1	2	-2	0	0
Others	0	0	23	-27	0
Loans outstanding to SAFA end of period	2	3	35	9	9
Advance given to SAFA start of period	0	0	27	0	0

Source: Company data, Nuvama Wealth Research

Company profile

Established in 1989, BALUFORG manufactures precision engineered products like crankshafts, under carriage, transmission and clutches, chassis components, hydraulic motors, wheel arm, wheels, and axles. In the last three decades, it has emerged as a leading provider of crankshafts for leading OEMs in sectors like agriculture, defence, auto, marine, and industrial.

Sector wise: The agricultural sector is the biggest revenue generator (~55%) followed by power generation (~15%). It serves over 25 OEMs globally. It aims to diversify beyond agriculture to Defence, Railways, oil and gas and aerospace segments. It has setting up production capacity related to defence sector, while further additions in Railways, Oil & gas and Aerospace segment are expected. In the mid-term, the management aims to raise its defence, railways, and aerospace exposure of ~35% from 5% while reducing its agricultural business to ~25%.

Region-wise sales contribution BALUFORG has a worldwide presence, with sales in more than 80 nations. Majority of its revenue (~90% of sales) accrues from exports, with Europe contributing the lion's share of revenue (~45%). Exposure to Americas is ~20% and includes LatAm and Brazil markets. We see limited exposure to US tariffs.

In FY25, it raised its machining capacity to 32,000t from 18,000t. Further capacity expansion is planned as the management aims to boost capacity to ~80,000mt by FY28. The company has two plants in Belgaum (Karnataka) and an overseas plant in the UAE. The UAE plant caters to Middle East region and manufactures engine parts related to oil field drilling equipment and components. It is also adding one more plant at Hukkeri (Karnataka), which is 20–30 minutes away from the Belgaum plant.

Exhibit 47: Sales breakup region-wise

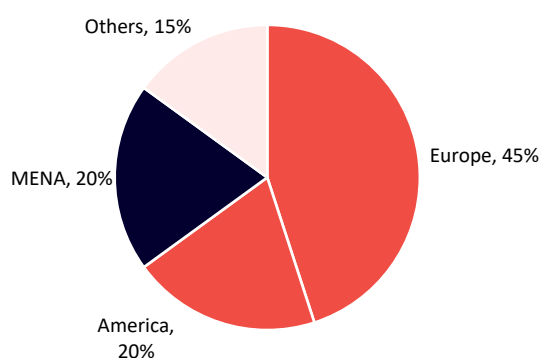


Exhibit 48: Sales breakup by segments (end-user industry)

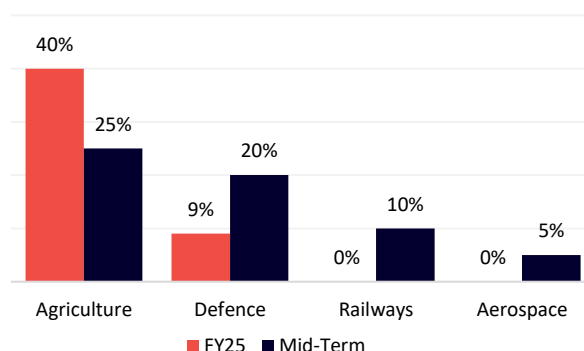


Exhibit 49: Shareholding pattern of

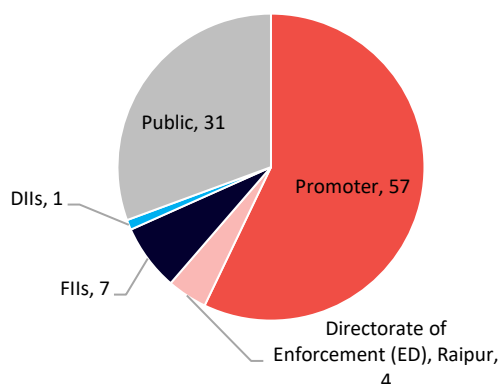
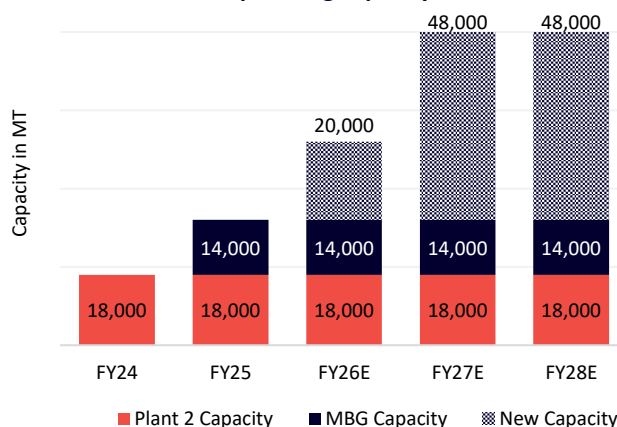


Exhibit 50: Upcoming capacity additions



Source: Company, Nuvama Wealth Research

Subsidiaries at a glance

Company operates three subsidiaries (two domestic/foreign arms each): i) SAFA Otomotiv FZ, ii) Naya Energy Works Pvt and iii) Balu Advanced Technologies & Systems Pvt. We discuss these subsidiaries in detail below:

SAFA Otomotiv FZ: This UAE-based company is the only revenue generating subsidiary. It manufactures half engines also known as short block engines. These engines are sold to the OEM as well as in aftermarket. As of FY25, OEM/Aftermarket sales was 60%/40% and company targets to increase to 80/20% in mid-term. In FY25, company had sold around 12,500 half engines sales. Company is operating at ~85% capacity as it sold around 12,500 engines in FY25. The capacity at SAFA Otomotive plant is around 15k units per year. This subsidiary has witnessed very strong sales growth of ~85% in FY25, as it generates sales of AED1400 in FY25. Management sees the sales to broadly flatten going forward as the maximum revenue generation capacity at current plant is AED2,000. We forecast 20% and 15% sales growth n FY26/FY27, reaching to maximum level of current capacity. Overall, we forecast revenue growth of ~14% CAGR over next three years as sales will normalise following 80% YoY growth in FY25 (on a lower base).

The other two subsidiaries— Balu Advanced Technologies & Systems Pvt and Naya Energy Works has yet to commence operations.

Key managerial personnel

Name and designation	Description
 Mr. Jaspalsingh Chandock Chairman & Managing Director	Jaspalsingh Chandock is a second-generation Mumbai-based entrepreneur, along with his late father Mr Prehlad Singh Chandock, laid the foundation of BALUFORG in 1989. He has around four decades of experience in the precision and machining industry. Under his leadership, the company has expanded its presence in more than 80 countries
 Mr. Trimaan Singh Chandock Executive Director	Mr Trimaan Singh Chandock is a third-generation entrepreneur. He joined in 2009 and helped guide the company through many innovations in its core business operations. Under his leadership, it shifted to OEM from the aftermarket business as it achieved TS16946 status. He has been instrumental in transforming BALUFORG into a global enterprise and its listing in 2020
 Mr. Jaikaran Chandock Executive Director	Mr. Jaikaran is the youngest promoter joined the business in 2014. He completed his BSc in Business Management from Cass Business School (now Bayes Business School) and MSc in Strategic Marketing from Imperial College London. He was previously part of MNCs like The Reeves Company and NJOY for a short while. He spearheaded the expansion of the R&D facility. Under his leadership, the company ventured into new technology and diversified its product portfolio

Forging industry / Precision industry

Global industry dynamics appear favourable for domestic players

Domestic companies are aggressively adding capacity to capture this opportunity

The Indian forging industry has been aggressively adding capacity over the last two years to supplement the supply shortage caused by the war between Russia and Ukraine and trade restrictions on Belarus and Russia. Ukraine, Belarus, and Russia were key players in the forging industry. Over the last few years, Europe+1 has gained momentum especially for forging industry. This is because i) high energy costs as forging industry is high energy intensive and requires vast sums of energy and ii) rising compliance costs due to higher emissions by the forging industry.

Additionally, global consumers are looking to diversify their supply chains outside Europe and China. The tariff war and geopolitical situation is driving China+1 discussions, with OEMs are looking for suppliers outside China. This has opened up opportunities for the Indian forging industry.

Company	Location	Investment	Capacity addition	Focus areas
Bharat Forge	Tamil Nadu	INR1,000cr spread over five years	To expand its manufacturing footprint	Automotive, EV components, and defence
Bharat Forge (JS Auto Cast)	Tamil Nadu (Erode)	Undisclosed (part of the INR1,000cr)	Acquired SEZ unit with 42,000mtpa capacity	Automotive castings
Ramkrishna Forgings	Jamshedpur, Jharkhand	INR57.5cr	A 3,000tpa aluminium forging facility	Electric vehicle components
Hilton Metal Forging	Mumbai	Not specified	Scaling up to 2,000 wheels/month	Railway wheels and wheelsets
Jindal Stainless	Gujarat and Indonesia	INR5,400cr	Raises melting capacity by more than 40% to 4.2mtpa	Stainless steel production

Source: Company, Nuvama Wealth Research

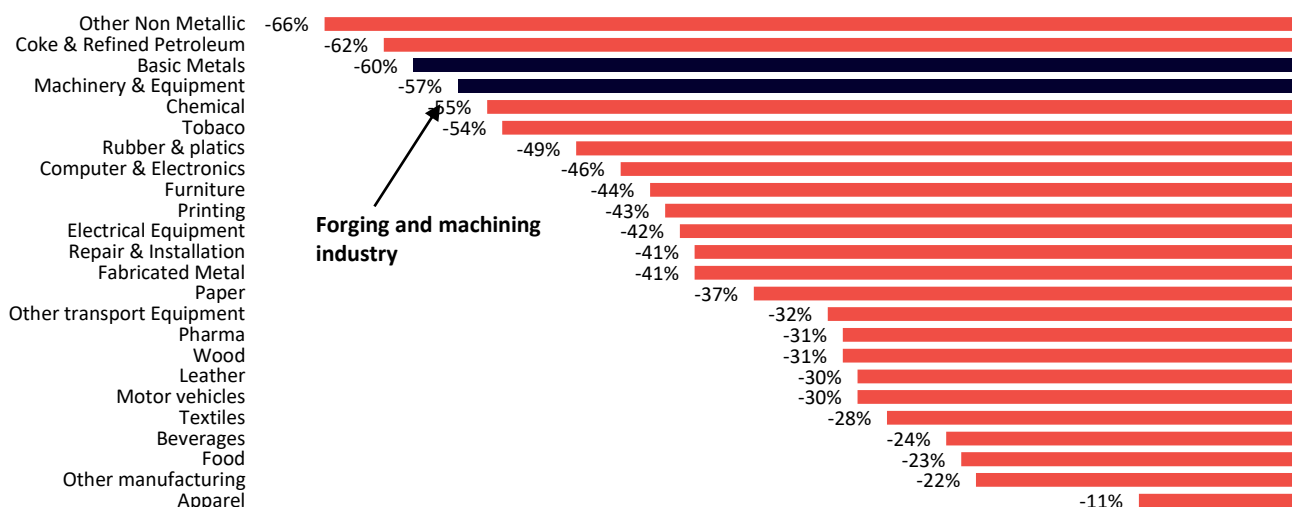
Supply shortages due to the Russia-Ukraine war

Prior to the Russia-Ukraine war, Ukraine used to be a key player in the forging industry. It was the main supplier to the European market as it offered some key strategic advantages: i) easy availability of raw materials, ii) lower labour cost, and iii) strong transport networks with other markets. It has several key forging plants including: i) Lozova Forging-Mechanical Plant (LKMZ), ii) Dnipro Metallurgical Plant, and iii) Chernigov Forging Plant. Majority of these plants are in Eastern Ukraine which has been the most impacted by the war. These plants were key to supplying forged components to both its domestic industry and the broader European market. For instance, LKMZ, which is one of the largest forging companies with an installed capacity of 180,000tpa, had to lower and suspend its production.

As per data by the United Nations, the basic metals and machinery and equipment industry was severely hit by the Russia-Ukraine war. Two of Ukraine's largest forging plants in Dnipro and Kharkiv lost ~20% of their production in 2022. Apart from Ukraine, the forging industry in other European markets was also severely impacted. Some Eastern European countries like Belarus were sanctioned which impacted the trade of forged and metal components. This led to a loss in production capacity and resulted in supply shortages especially in Europe.

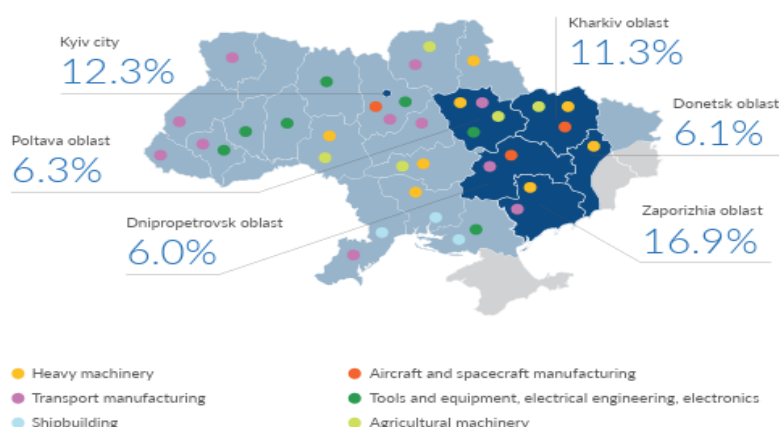
Exhibit 51: Basic metals and machinery equipment is one of the most hit sectors in Ukraine

Ukraine's industrial production in 2022 versus an average of 2019–21



Source: Company, Nuvama Wealth Research

Exhibit 52: Majority of its machinery industry is located in Eastern Ukraine which has been most impacted by the war



Source: Company, Nuvama Wealth Research

Supply chain diversification (Europe+1 and China+1) gains momentum

Over the last few years, we have seen a greater emphasis on diversification of supply chains beyond Europe and China.

Demand for Europe+1: Europe has been reducing its forging capacity over the last few years. Bigger players like thyssenkrupp have reduced capacity and laid off employees over the last two years. Such a step is driven by:

- Higher energy costs:** Forging is a highly energy intensive industry. After the Russia-Ukraine war, energy prices have surged, especially in Germany (a key forging market), resulting in lower production and greater plant shutdowns.
- Stricter environmental regulations:** In Europe, emission standards for the forging industry are regulated and monitored through EU Emission Trading Systems (EU ETS)/Industrial Emissions Directive (IED) that set limits on allowed carbon dioxide emissions/pollutants like nitrogen oxides, sulphur oxides, and particulate matter. As older forging plants did not meet these standards, they needed to upgrade their facilities, especially in a higher interest rate environment. These regulatory hurdles also came with extra compliance costs.
- Transition to EVs** reduced the demand of crankshafts, one of the major revenue generating components in the forging industry.

China+1 diversification: China is one of the largest forging players globally, accounting for ~50%/40% of total forging/machining output. As the uncertainty rises because of ongoing tariff war and geopolitical issues, the industry is looking to diversify their supply chains. In FY25, some Asian OEMs started sourcing from Indian OEMs rather than Chinese players.

Company/plant	Location	Action taken
British Steel (Jingye Group)	Scunthorpe, UK	Government intervenes to prevent closure
Tata Steel	Port Talbot, Wales	Closes blast furnaces, shifts to electric arc
Thyssenkrupp Steel	Kreuztal-Eichen, Germany	Closes site; cuts up to 11,000 jobs
Liberty Steel	Ostrava (Czech Republic), Galati (Romania), Dunaújváros (Hungary)	Halts production; initiates bankruptcy proceedings
ArcelorMittal	Bremen and Hamburg (Germany), Asturias (Spain)	Partial closures; investment delays
Voestalpine	Linz, Austria	Closure of Camtec plant
ArcelorMittal France	Reims and Denain (France)	Closes site; cuts 136 jobs

Railways and defence are hit the most

Railways: Ukraine and Russia are the two top suppliers of wheels to the Indian Railways. As war impacted production, the Indian Railways faced a supply crunch. Though the Indian Railways added capacity to stem this shortage, it still floated a tender to acquire 80,000 wheels from the private sector. RMKF is the primary supplier of these wheels.

Defence: The Russia-Ukraine war and the ongoing conflict in the Middle East have increased the demand for defence munitions. With reduced production and sanctions against Russia, supply has declined. This is further aggravated by the China+1 strategy as these products are paramount for security.

Manufacturer	Location	Annual capacity (wheels)	Notes
Rail Wheel Factory (RWF)	Yelahanka, Bengaluru	~70,000	Produces wheels, axles, and wheel sets for various rail applications
Rail Wheel Plant (RWP)	Belaganj, Bihar	Up to 100,000	Produces 42,167 wheels in FY24
Durgapur Steel Plant (DSP) — SAIL	Durgapur, West Bengal	~40,000	Manufactures forged wheels and axles including LHB variants
Rashtriya Ispat Nigam (RINL)	Lalganj, Uttar Pradesh	100,000 (installed)	Targets 55,000 wheels in FY24; suitable for high-speed trains
Upcoming private sector facility	To be decided	80,000 (planned)	Bids submitted by , Bharat Forge, and SAIL

Difference between forging and machining and types of forging

Forging versus machining and casting

Forging is a process by which a metal is given shape and structure. It involves both cold and hot forging. Cold forging is used for simple straightforward shapes and on relatively softer metals. Hot forging requires a higher temperature and is used to achieve complex shapes on hard metals. Generally, hot forging is expensive and time consuming. It doesn't ensure a smooth finish as it is an additive process. The main advantages of forging are:

- Stronger and more durable products
- More complex and unique shapes
- Lower waste as compared to machining

Machining is a subtractive process as it removes metal to achieve newer shapes and a smooth finish. CNC machines are used for cutting and precision shaping. The main advantages of machining are:

- Less time consuming
- A highly precise manufacturing process
- A more versatile process than forging
- Ensures a smooth finish which is not easy to replicate by forging
- Process is much more automated than forging

Press forging vis-à-vis hammer forging

The main difference between drop forging and press forging is the method used to shape the metal.

Drop or hammer forging uses a heavy hammer to repeatedly deform the metal in a die. It can be used only in closed die forging. Typically, it is used for smaller, high-stress components where superior surface integrity and localised strength is crucial.

In **press forging**, a single stroke of pressure is applied through a die to shape the metal. It can be undertaken with mechanical or hydraulic presses. Both open and closed die forging is possible. Press forging is preferred for larger, complex parts requiring precise dimensional control and uniform material properties throughout the component.

Here are some differences between drop forging and press forging:

Speed: Drop hammers reach peak loads in two to five milliseconds while press forging attains peak force in 30–100 milliseconds.

Product quality: Drop forging is known for producing strong, uniform, and precise components. Press forging may not be as uniform or strong.

Cost: Drop forging has lower initial setup costs while press forging is more cost effective for higher volumes.

Versatility: Presses are more versatile than drop hammers as they can be used in open die forging, closed die forging, and shaping. Drop hammers can only be used in closed die forging.

Applications wise, the difference is as below

	Drop Forging	Press Forging
Automotive	Fabricate metal components like ball mounts and hitch balls.	Manufacture auto parts like crankshafts, connecting rods, camshafts, and industrial valves
Defence	Gear teeth, axles, connecting rods, small weapon components, shackles, and hooks	large tank chassis components, aircraft landing gear parts, gun barrels, turbine blades, and large structural forgings.
Railways	Railway coupling, brake components, suspension system parts, and axle components.	Traction motor components, wheel hubs, bogie components, and large structural parts.
Aerospace	High stress components like turbine blades and compressor discs.	Large, complex components like landing gear parts and fuselage components.

Product offerings

Key & Core Component



Crankshaft



Under Carriage



Transmission & Clutches



Chassis



Oil & Gas Flow Control

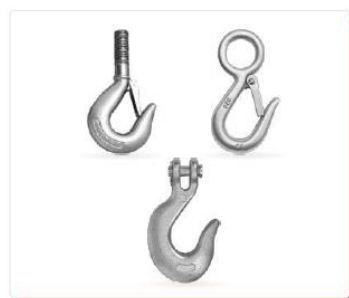


Hydraulic Motors

Key & Core Component



Brake Parts



Hooks



Towing Accessories



Turbine Blades

The Defence Project



The Railway Project



PRODUCTS MANUFACTURED



Machines

Forging Machines	
Press lines	Weight
8,000 ton mechanical press (One)	25 kg to 120 kg
2,000 ton trimming press (One)	50-1,00kg to several tons
1,600 ton trimming press (One)	100 to 1,000kg
1,250 ton trimming press (Two)	200 to 1,000kg
1,600 ton hydraulic trimming (One)	Upto 1,500kg
Hammers	
10 ton hydraulic hammer (One)	50-200kg
16 ton hydraulic hammer (One)	100-1,000kg
25 ton hydraulic hammer (One)	100-1,500 kg

Machining	
Machine Lines	Size
Junker CBN Machine	upto 2.0m
Naxos Union CBN grinding	upto 2.5m
Matic 7 axis	upto 3.0m
Etaxter 7 axis	upto 1.5m
Etaxter 11 axis	upto 1.5m
Around 250 other machines - VMC, HMC, CNC, Grinder, etc.	

Financials

Income Statement (INR cr, unless specified)

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Income from operations	286	327	560	924	1,247	1,685	2,187
Direct cost	220	227	376	603	798	1,062	1,356
Employee expenses	5	8	13	24	58	83	110
Other expenses	24	42	51	46	48	69	98
Operating expenses	249	277	441	673	904	1,214	1,564
EBITDA	37	50	119	251	343	472	623
Depreciation and amortisation expense	1	1	2	3	6	9	15
EBIT	36	48	117	248	337	463	608
Finance cost	5	11	14	11	15	9	9
Other income	9	13	10	17	6	3	5
Profit before tax (PBT)	39	51	114	254	329	457	604
Tax expense	9	12	20	50	73	104	141
Net profit for the year	30	39	93	204	246	353	463
Diluted EPS	3.61	4.67	9.74	18.38	21.98	30.38	39.72

Common size metrics - as % of revenues

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Operating expenses	87.0	84.8	78.7	72.8	72.5	72.0	71.5
Depreciation	0.4	0.4	0.4	0.4	0.5	0.6	0.7
Interest expense	1.8	3.2	2.4	1.2	1.2	0.5	0.4
EBITDA margin	13.0	15.2	21.3	27.2	27.5	28.0	28.5
EBIT margin	12.6	14.8	20.9	26.8	27.1	27.5	27.8
Net profit margin	10.4	11.9	16.7	22.1	20.5	21.0	21.2

Growth Metrics

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue	101	14	71	65	35	35	30
EBITDA	203	34	139	111	37	38	32
PBT	301	29	125	123	30	39	32
Net profit	292	30	140	118	26	38	31
EPS	120	29	109	89	20	38	31

RoIC calculation	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Adjusted. EBIT	36	48	117	248	337	463	608
Tax rate (%)	24	23	18	20	22	23	23
NOPAT	27	37	96	199	263	357	466
Fixed assets	16	22	154	568	519	1,095	1,255
Working capital	126	180	227	307	393	494	641
Invested capital	143	202	382	875	912	1,589	1,896
RoIC (%)	29.6	21.6	33.0	31.7	29.4	28.6	26.7

RoE calculation	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
PAT	30	39	93	204	256	353	463
Sales	286	327	560	924	1,247	1,685	2,187
Total Asset	284	371	712	1,252	1,795	2,206	2,709
Debt	126	173	159	199	252	335	411
Equity	159	198	553	1,053	1,543	1,871	2,298
PAT margin (%)	10.4	11.9	16.7	22.1	20.5	21.0	21.2
Asset turnover ratio (x)	1.0	0.9	0.8	0.7	0.7	0.8	0.8
Debt/equity ratio (x)	0.8	0.9	0.3	0.2	0.2	0.2	0.2
RoE (%)	18.8	19.7	16.9	19.4	16.6	18.9	20.1

Ratios	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Gross margin (%)	23	31	33	35	36	37	37
Current ratio (x)	2.0	1.9	3.7	3.2	3.2	3.2	3.4
Inventory days	54.0	38.9	58.3	38.8	45.0	42.0	42.0
Receivables days	164.5	235.2	142.5	129.3	120.0	120.0	120.0
Payables days	57.7	73.2	52.5	46.6	50.0	55.0	55.0
Cash conversion cycle (days)	160.8	201.0	148.2	121.5	115.0	107.0	107.0
Net debt /EBITDA ratio (x)	1.1x	0.9x	-0.3x	-0.2x	-0.3x	-0.3x	-0.5x

Balance Sheet (INR cr, unless specified)

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
PPE	9	15	24	147	515	675	834
Intangible assets (including goodwill)	33	33	33	33	33	33	33
Non-current investment	0	1	1	1	1	1	1
Other non-current assets	0	16	32	84	84	84	84
Total non-current assets	50	72	219	685	1,053	1,212	1,372
Inventories	42	35	89	98	154	194	252
Trade receivables	129	211	218	327	410	554	719
Cash and cash equivalents	6	5	88	93	129	196	317
Other current assets	49	40	88	39	39	39	39
Total current assets	235	299	493	568	742	993	1,337
Total assets	284	371	712	1,252	1,795	2,206	2,709
Total equities	159	198	553	1,053	1,543	1,871	2,298
Long-term borrowings	7	12	25	16	16	16	16
Long-term provision	1	1	1	1	1	1	1
Other Long-term liabilities	1	0	0	4	4	4	4
Total non-current liabilities	9	13	26	21	21	21	21
Short-term borrowings	39	40	24	20	20	20	20
Trade payables	45	66	81	118	171	254	330
Other current liabilities	33	55	29	40	40	40	40
Total current liabilities	117	161	134	178	231	314	389

Cash Flow (INR cr, unless specified)

Year to March	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax	39	51	114	254	329	457	604
Add: D&A	1	1	2	3	6	9	15
Add: Other non-cash expenses	(3)	9	(9)	(42)	(61)	(98)	(136)
Less: Change in operating working capital	(84)	(44)	(57)	(29)	(86)	(101)	(147)
Less: Change in other WCR	(9,562)	(3,459)	(12,071)	(3,189)	(8,472)	(10,016)	(14,569)
Other operating cash flow	2	0	(17)	(35)	0	0	0
Net cash flow from operating activities	(58)	26	(32)	148	189	267	336
Capex PPE	(8)	(21)	(134)	(416)	(374)	(169)	(175)
Free cash flow	(65)	5	(166)	(268)	(186)	99	161
Other investments	0	0	0	(0)	2	3	4
Net cash flow from investing activities	(8)	(21)	(134)	(417)	(372)	(166)	(171)
Net cash flow from financing activities	69	(6)	249	274	219	(34)	(44)

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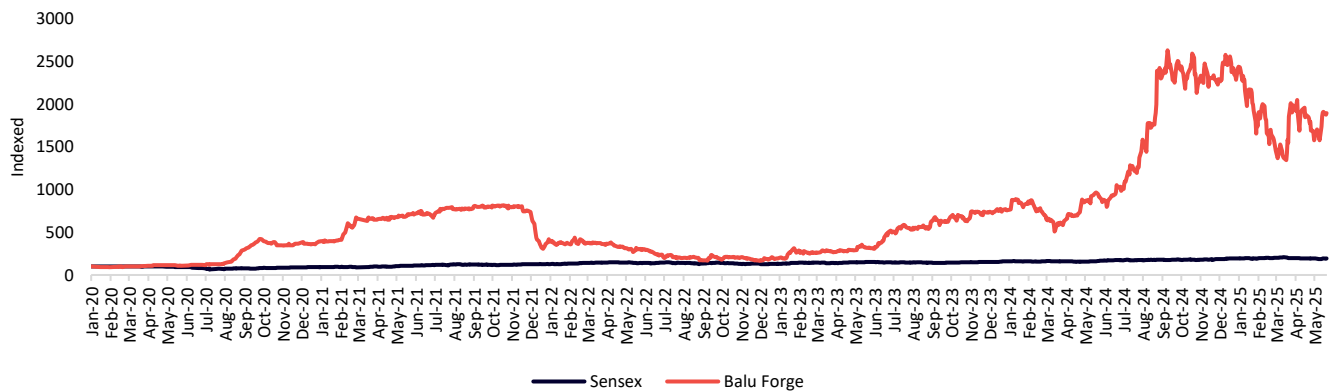
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SELL < -5%



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